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COURSE: BUSINESS ANALYTICS – FOUNDATIONS
TYPE: RESEARCH AND TERMINOLOGY

1. Foundational Concepts of Analytics

01. Business Analytics
- It is a way of transforming raw data into actionable insights to analyse business performance.

02. Data Analytics
- It is a way of collecting data and use the data to identify a problem and come up with a solution

03. Business Intelligence (BI)
- It is a technological process that ensures strategic decision-making is made within the organisation after data has been collected and analysed.

04. Data-Driven Decision Making
- It is a way of collecting and interpreting data from quantitave data and analysis and using the quantitative strategy to collect data.

05. Big Data
- Data that is extremely large and some data processing tools may have difficulty in handling/processing the data.

06. Descriptive Analysis
- Process of summarising past and present data to identify patterns to understand what has happened and is currently happening.

07. Diagnostic Analytics
- A process of analysing historical data inorder to answer the questions of what happened and why it happened. in the past and present.

08. Predictive Analytics
- A process of analysing historical data to make predictions of the future outcome.

09. Prescriptive Analysis
- A process of analysing data which goes beyond describing past events of predicting future outcomes. It recommends actions to take to minimise risks that may occur.

10. Data Literacy
- The ability to understand and interpret data and turn it into meaningful insights for decision-making.

2. Data, Measurement And Reporting

11. Structured Data
- Consistent data that is stored in a table with rows and columns.

12. Unstructured Data
- Data that does not consist a format.

13. Data Warehouse
- A central place where multiple databases are stored. Be it structured or unstructured data.

14. Data Mining
- A way of analysing data to identify patterns and transform them into actionable knowledge.

15. Data Visualization
- A way of presenting data using different visual elements like bar graphs, charts or maps.

16. Dashboard
- A visual tool that shows real-time data and helps users to make data-driven decisions.

17. Metric
- A standardized measure that is used to provide data that can inform decisions. They are used to track day-to-day operations and performance.
- e.g No of website visitors

18. Key Performance Indication (KPI)
- Quantifiable values that help organisations measure their progress toward achieving strategic goals. and guide them to make decision. It is more focused and specific.
- e.g increase customer satisfaction score by 10% in the next quarter.

19. Benchmark
- A point of reference used during comparison.

20. Segmentation
- A process of dividing groups that share similar characteristics into one group.

3. Customer And Sales KPIs

21. Conversion Rate

- It is the percentage of users who complete a desired action out of the total number or interactions. It measures how effectively a business / website turns visitors into customers.

22 Customer Acquisition Cost (CAC)

- It measures the total resources a company spends to gain a new paying customer.

23. Customer Lifetime Value (CLV / LTV)

- It estimates the total revenue a business can expect from a single customer throughout their entire relationship

The CLV/CAC ratio compares a customer's lifetime value (CLV) to the cost of acquiring that customer (CAC)

<u>CLV and CAC formula:</u>

CLV = Average Purchase Value × Purchase Frequency × Average Customer Lifespan.

CAC = Total marketing and Sales expenses ÷ Number of new customers acquired.

<u>CLV / CAC ratio:</u> CLV/CAC = CLV ÷ CAC

24. Churn Rate

- Is the percentage of customers who stop doing business with a company over a specific period.
- Churn Rate (%) = (Customers Lost During Period ÷ Total Customers at Start of Period) × 100

25. Customer Retention Rate
- Shows how effectively a company maintains its existing ~~t~~ customer base over time

26. Net Promoter Score (NPS)
- It is a way of weighing the customers loyalty and their satisfaction through survey questions

27. Average Order Value (AOV)
- It measures the amount of money a customer spends when they place an order.

28. Sales Funnel
- It is a visual representation of how a customer moves from first awareness of a product up to making a purchase. This helps businesses to track and manage prospects and optimize interactions to improve conversion rates.

04. Marketing And Campaign Analytics

29. Marketing Campaign
- An action from a business which is done to stimulate customers into purchasing a certain product. e.g. using social media or face-to-face events.

30. Post-Campaign Analysis
- A process which is done after a campaign to assess if the campaign was effect and if there is a need for improvement or a different campaign.

31. Incremental Revenue
- An extra income that is generated during a campaign.

32. Return on Investment (ROI)
- It is used to measure the profit or loss from an investment which provides a clear picture of an investment's success.

33. Return on Ad Spend (ROAS)
- It measures how much money a business makes for each rand that they spend on advertising a certain product or service

34. Click-Through Rate (CTR)
- It measures how many customers are showing interest in ~~an~~ a service/product that has been shared through an ad as a campaign.

35. Bounce Rate
- It measures how customers view one product and leave without showing interest in other products.

36. A/B Testing
- It is used to compare two similar products and to see which ~~products~~ product customers are more interested in.

37. Lead Generation
- The process of stimulating customers that are interested in a product to have them paying for the product

38 Marketing Attribution

- It is the process of identifying a marketing strategy that increased sales and improved the business revenue.

REFERENCES

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